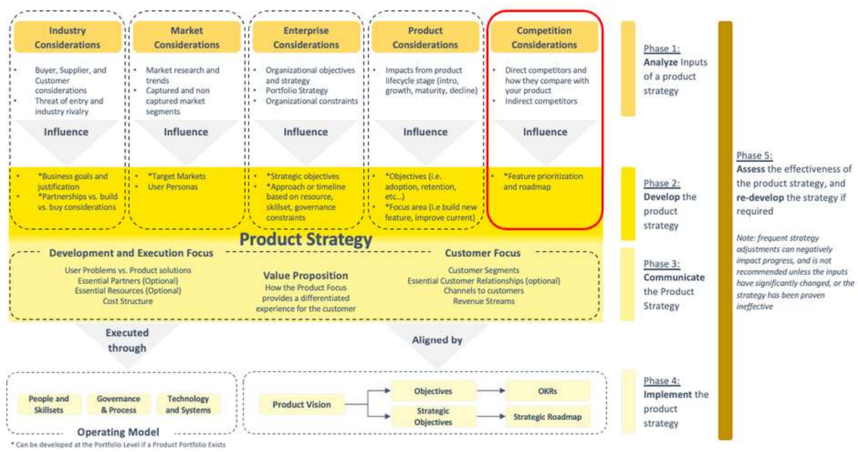
1.5.2.5 Competition Considerations (Product Strategy)

What are Competition Considerations?

Competition Considerations are factors that influence your Product Strategy because of what your competition is doing, or has already done. Competition to a Product can be **direct competition** which are similar products or services with the same users, or **indirect competition** which are different products or services that serve the same needs as your product to the same users. Without knowledge of both direct and indirect competition, a Product Manager is not equipped with the information they need to develop their Product Strategy because they will not have a complete understanding of how alternative products are currently satisfying or not satisfying their users needs.



Direct vs. Indirect Competitors

Direct Competitors are the biggest threat to stealing market share and users, and they are typically easy to identify. Indirect competitors are harder to identify, but can still threaten the same users and market share as the direct competitors. The key differences between direct and indirect competitors are listed below.

Direct Competitors

- Serves the **same users** as your Product
- Solves the **same problems** as your Product
- Provides a **similar or same solution** as your Product
- Provides a **similar price point, quality, and value**

Indirect Competitors

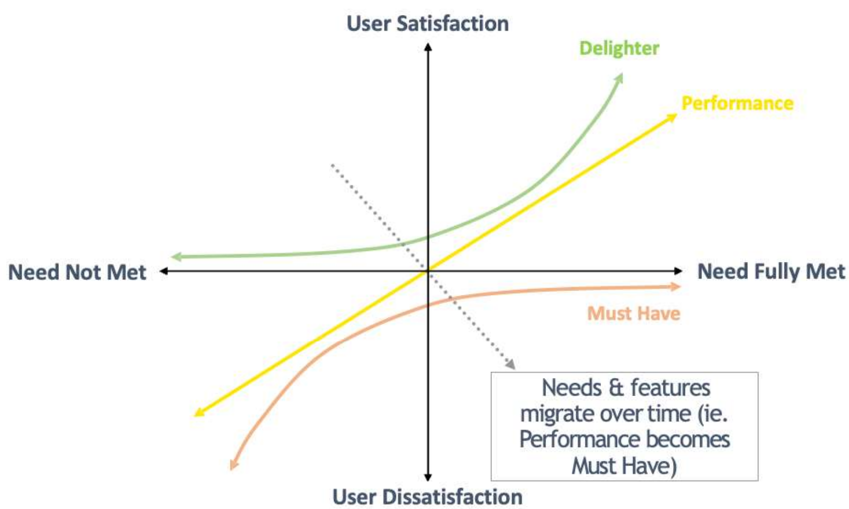
- Serves the **same users** as your Product
- Solves the **same problems** as your Product
- Provides a **different solution** as your Product
- Can offer a **different price point** (high or low) and provide a **different value or quality**(high or low)

Introduction to the Kano Model

The easiest way to retain your customer base is to differentiate your Product when dealing with either type of competitor. However, sometimes there is a need to imitate or match your competition to ensure you are meeting the same user needs they are. Using the **Kano Model** is a method of conducting competitive analysis by comparing what needs your competition does and does not currently meet. This model was created by Noriaki Kano in the 1980s, and has been taught by Dan Olsen, a leader in the Product Management community. This can help inform your Product Strategy and Roadmap by providing analysis of which features your competition offers, and whether you plan to or do not plan to offer your users as well.

The Kano Model compares Features that your Product offers by plotting the Feature's ability to meet a user need (x-axis) vs. the User Satisfaction (y-axis) on a graph. A Product Manager can use the Kano Model by comparing the current Features their product offers with the Features that their competitors offer. Once plotted on the graph, each Feature will fall into one of the following categories as seen on the graph below:

- **Must-Have Benefits of a Product**: Aspects of a Product that customers require and expect in your Product. You cannot avoid adding these, and they should be a top priority if they are not already part of your Product.
  (Examples: seatbelt in a car, mousepad on a computer, Eraser on a pencil, alarm on a phone)
- **Performance Benefits**: Aspects of a Product where the ability to meet the need directly correlates to the user satisfaction. Over time, these become Must-Haves when the user begins to expect a certain level of performance.
  (Examples: Computer Processing Speeds, Phone or computer internet speeds, Response time from a customer service representative, delivery time for a package)
- **Delighter Benefits:** Aspects of a Product that provide unexpected benefits and exceed customer expectations. These differentiate Products outside of performance.
  (Examples: Tesla tablet displaying surrounding cars and environment, fingerprint login on a Laptop)



The Kano Model

Source: Olsen, Dan. (2015). The Lean Product Playbook. Hoboken, New Jersey: John Wiley & Sons inc.

How to use the Kano Model for Competitive Analysis

The following section outlines how you can use the Kano Model to conduct your competitive analysis. This is not the only way to conduct competitive analysis, but it is a common way.

Step 1: List the Product Benefits and Competitors that you will compare

1a. Choose the Benefits of the Product

- ***Brainstorm:*** Work with your team (Product Team, Marketing Teams, Sales, etc…) to brainstorm a list of all Product Benefits that you AND your competitors offer to the client
- ***Categorize:*** Categorize each of these features into the Kano Model categories (Must Haves, Performance Benefits, Delighter's)

1b. Choosing the Competitors

- ***List known Competitors:*** Begin by listing all of your direct and indirect competitors
- ***Research new Competitors:*** Search for products that offer the benefits you listed in the previous step. If new competitors are identified, conduct thorough research on their Product to gain a deeper understanding of their ability to meet the needs of your Users

1c. Enter Benefits and Competitors into a table

	You	Competitor A	Competitor B	Competitor C
MUST-HAVES				
Must-Have 1				
Must-Have 2				
PERFORMANCE BENEFITS				
Performance benefit 1				
Performance benefit 2				
Performance benefit 3				
DELIGHTERS				
Delighter 1				
Delighter 2				
Delighter 3				

TIPS

- Not every benefit has to align to a feature, but they can align to features. Do not limit yourself to brainstorming benefits
- **Include all sources of information** that can give you knowledge of the user and their thoughts on your product. You may have survey data that does not match what the sales team is hearing. It is important to look at the needs and satisfaction from multiple lenses
- Categorization can be conducted in a variety of ways:

- **Qualitatively** using information you already have about the user (from customer service, sales representatives, interviews, etc…)
- **Quantitatively** using surveys and interviews that specifically ask the users to rate their satisfaction and needs on a numerical scale

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Step 2: Provide a rating to each of the 3 Kano Model Categories

2a. Rate Must Haves

- **Must haves** are rated **YES** or **NO**. Does your Product or the Competitors Product have this benefit or not?

2b. Rate Performance Benefits

- **Performance Benefits** are rated **High (top 75% of competitors), Medium (top 50% of competitors), or Low (Bottom 50% of competitors)**

1c. Rate Delighter's

- **Delighter's** either exist or do not, so they are rated with a **YES or a blank(___)**

	You	Competitor A	Competitor B	Competitor C
MUST-HAVES				
Must-Have 1	YES	YES	NO	YES
Must-Have 2	YES	NO	YES	YES
PERFORMANCE BENEFITS				
Performance benefit 1	LOW	HIGH	LOW	MED
Performance benefit 2	LOW	LOW	HIGH	LOW
Performance benefit 3	MED	MED	MED	HIGH
DELIGHTERS				
Delighter 1	-	YES	-	-
Delighter 2	-	-	-	YES
Delighter 3		YES		

TIPS

- There is no need for interpretation on Must-Haves and Delighter's. The Products will either have them or not. All Products should have Must-Have benefits to remain competitive, and if your Product does not, your Product Strategy should focus on that before anything else.
- **Must-Haves' are not scalable**, meaning that more of a certain must have typically **does not result in higher user satisfaction**
- **Performance Benefits are scalable**. The higher the performance the more satisfied the User is. This is why they are rated High, Medium, and Low.
- **Delighter's are a good place to focus to differentiate your Product** because Performance benefits and Must-Haves are expected (and performance benefits become Must-Haves)

Using the Kano Model to support Product Strategy Development

Using the Kano Model for Competitive Analysis cannot solely be used to determine a Product Strategy since there are other considerations influencing the strategy (i.e. Market Considerations, Enterprise Considerations, etc…). However, **the analysis will support key decisions** that need to be made in **defining the Product Strategy** such as:

- Validating or changing the value proposition,
- Determining which user needs you are attempting to solve
- Determining which solution you will work towards
- Supporting the prioritization efforts for new Features
- Potentially changing other things like channels to partners, revenue streams, cost structure, etc…

Example of using the Kano Model to develop a Product Strategy

- ***Observations:***
    - After conducting a Kano Model Assessment the Product Manager notices that their Product is underperforming compared to their competitors with their **Performance benefits.** They are rated **LOW in 3 of the categories assessed**, while all other competitors only have 1 LOW rating.
    - They also notice that **Competitor A** and **Competitor B** are **lacking Must-Have benefits** in their Products. This leaves the Product manager to believe their **Product Strategy** should be **focused on** competing with **Competitor C** because that is their highest threat for market share.
    - The Product Manager focuses on how to compete with Competitor C, and believes comes up with 2 options that affect their Product Strategy (see below)
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	You	Competitor A	Competitor B	Competitor C
MUST-HAVES				
Must-Have 1	YES	YES	NO	YES
Must-Have 2	YES	NO	YES	YES
PERFORMANCE BENEFITS				
Performance benefit 1	LOW	HIGH	LOW	MED
Performance benefit 2	LOW	LOW	HIGH	LOW
Performance benefit 3	MED	MED	MED	HIGH
DELIGHTERS				
Delighter 1	-	YES	-	-
Delighter 2	-	-	-	YES
Delighter 3	-	YES	-	-

- ***Strategic Decisions:***
    - *Option 1*: Option 1 is to focus on Performance Benefits. The Product Manager understands that if they can become the leader in performance benefits, they can charge a higher premium and attract more casual users of the Product by stealing market share from the other competitors. They decide to prioritize features that enhance Performance benefits 3, 1, and then 2 in that order. Their strategy now revolves around enhancing performance and their feature prioritization is now influenced by this decision in the strategy.
    - *Option 2*: Option 2 is to focus on adding delighter's. The Product Manager understands that their Product underperforms other products, but they are

able to retain their customer base because they charge a lower price for their product, which attracts their user base. The Product Manager decides that focusing on Delighter's will attract a separate niche audience and they adjust the Product Strategy to target a new set of users that want delighter 4 (no one has this yet).

- ***Summary:***
    - Neither Option 1 or Option 2 were incorrect, and they are both backed by logic. This is where the Art of Product Strategy is essential. The Product Manager must make the decision and communicate that to the team and stakeholders, including why they made this decision. Without understanding the users and competition at a deeper level from the analysis, the decisions made and features prioritized may not reflect the most impactful decision.